Cambridge (CIE) A Level Business

Your notes

Leadership (A Level)

Contents

- The Importance of Leadership
- Leadership Theories

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The purpose of leadership

- Leadership is about having a **vision**, sharing that vision with others and **providing direction**
  - Leaders **inspire** and **motivate** others to **work towards a common goal**
    - This contributes to the **meeting of aims and objectives** and supports the **development of a motivated workforce**
- Leaders must also be prepared to **pursue a new direction** or even **step aside** when **circumstances change**
- While **some managers may be good leaders**, **not all leaders have a management role**
  - Employees will follow a manager's direction but may not be **truly inspired** to support the manager in achieving ambitious business goals
- Leadership is necessary in many **different contexts**
  - A leader in sport could be the captain of a national football or basketball team
  - A political leader could be a president, leader of a political group or **trade union**

Leadership roles in business

- Leaders in a business are often, though not exclusively, employed in management roles
  - **Directors** are senior managers, elected to their posts by shareholders at the **annual general meeting**
  - **Managers** are employed to organise resources and make decisions relating to people and operations within their area of responsibility
  - **Supervisors** are directed by managers and lead the day-to-day performance of a team to achieve its goals
  - **Employee representatives** are chosen by their peers to act on their behalf when holding discussions or raising concerns with managers
- **Informal leaders** with significant influence often emerge in businesses
  - Informal leaders could be popular, **trusted colleagues**, experienced or **long-standing members of staff** or individuals with **strong, persuasive personalities**
  - In some cases, informal leaders are **appointed to management positions** to capture and utilise their influence
  - Otherwise, taking steps to **involve and reassure informal leaders** can persuade them to support business objectives
    - This can be a powerful way to gain trust and **buy-in** of employees

The qualities of a good leader

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- Good leaders commonly have a range of talents
  - They are likely to have **context-specific skills** and a **broad understanding of business issues**
  - They will have suitable **experience** and **expertise**
  - They will possess personal characteristics such as **honesty, ethical standards** and **patience** when dealing with others
  - They will be **excellent communicators**, able to inform, persuade and inspire others
- **Leaders aren't born with these capabilities**
  - Leadership qualities cannot be taught; rather, they are learned from experiences and facing **adversity**
  - They tend to have **intentionally** put themselves in situations where they have to **learn, adapt** and **grow** a range of important qualities

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Qualities of good leaders

Authenticity	Curiosity	Ability to analyse	Adaptability
▪ Good leaders are **highly effective** and **capable of motivating and inspiring** those around them	▪ Good leaders are **open to new experiences** and able to look at situations from the **point of view of other stakeholders**	▪ Good leaders are **data-informed** and can **break down complex problems**, identify their root causes and develop fresh solutions	▪ Good leaders **respond swiftly to change**, **amend their course** when needed and **embrace new opportunities** and challenges
Creativity	**Comfort with ambiguity**	**Resilience**	**Empathy**
▪ Good leaders establish an **environment that nurtures creativity** in others and that may embrace **learning from failure**	▪ Good leaders **understand how things are connected** and can balance **opposing ideas** in the face of **uncertainty**	▪ Good leaders **keep trying**, even when they have experienced failure ▪ They have the confidence to get **input from others** and **regroup** if necessary	▪ Good leaders foster **positive working relationships**, build **trust**, and actively **engage with their team members**

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Goleman's Four Competencies of Emotional Intelligence

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- Emotional intelligence (EI) is an individual's **ability to understand and manage their own emotions and feelings**, **as well as those of others**
- **Goleman**'s framework of **four components that make up emotional intelligence** includes skills that can be developed and improved to **make managers more effective leaders**

The Four Competencies of Emotional Intelligence

Goleman's Four Competencies of EI categorises personal and social skills that can make managers effective leaders

Self awareness

- Self awareness is the ability of an individual to **read and understand their emotions and recognise their impact on others**
- Skills that can be developed include emotional **self-awareness**, **self-assessment** and **self-confidence**
- The more leaders are **aware of their feelings**, the easier they are to manage when responding to others
  - **Emotions** can be unintentionally shared with others, through facial expressions and other nonverbal behaviour
  - Positive emotions towards others can influence them to **cooperate** and **work towards shared goals**

Social awareness

- Social awareness is the ability to accurately **notice the emotions of others and read situations** appropriately
- Skills that can be developed include **empathy, organisational awareness** and **service**

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- It involves leaders **sensing what other people are thinking and feeling**, taking into account their perspectives and being **empathetic**
  - Leaders should be able to **identify others' frustration** with the task at hand and respond in a way that can prevent further negative emotions
  - Strong empathy skills also help leaders **get along better with others** who see things differently from them to **avoid misunderstandings and conflict**

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Self management

- Self management is the ability of a leader to **manage their actions, thoughts, and feelings in flexible ways** to achieve goals
- Skills that can be developed include **self-control, transparency** and **optimism**
- It contributes to a sense of **well-being, confidence** and a sense of **connectedness to others**
  - Effective leaders can **cope effectively** even in the most challenging of working relationships
  - They can **concentrate on the task at hand** rather than being distracted by negative thoughts or emotions

Relationship management

- Relationship management is the ability of a leader to **take their own emotions, the emotions of others and the context** to manage interactions with others successfully
- Skills that can be developed include **bond building, conflict management** and **teamwork**
  - Leaders **sense other's reactions** to the situation and **fine-tune** their response to move in a positive direction
  - In this way, leaders **influence those around them** to make a good decision that is **accepted by all**

Examiner Tips and Tricks

Strong analysis can be developed by using relevant theories to support your points. Management and leadership theories provide an excellent theoretical basis, which, alongside the use of relevant points from the case study, can help you to make a strong argument.

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An introduction to leadership theory

- Leadership theories explain **how some people become great leaders** and **why some leadership styles are effective**
  - They focus on **shared traits, characteristics and behaviours** of successful leaders and the circumstances that have produced them

Key leadership theories

Leadership theories attempt to explain what makes great leaders, focusing on their traits, characteristics, behaviours and the circumstances in which they lead

Trait theory

- **Trait theory** suggests that **great leaders are born, not made**
  - Studies of **great historical leaders** investigated both their personality and physical traits
    - Certain traits were observed in leaders across time, in different cultures and in diverse locations
- Studies found that some people are simply **born with the personality traits and physical attributes that set them apart** from others and give them the **potential to demonstrate great leadership skills**

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- Despite being present at birth, these natural talents **must be developed** and the individual must **learn to apply leadership techniques** to be successful
- In business, leaders including Microsoft's **Bill Gates**, Sony's **Akio Morita** and Italy's **Enzo Ferrari** possess these traits

- Some of the **natural qualities** of a successful leader identified include
  - **Charisma**
  - A drive to achieve
  - The desire to lead
  - **Integrity**
  - Confidence
  - Intellect
  - Effective political skills
  - Business knowledge
  - Emotional maturity
- Trait theory **also emphasises typically masculine characteristics**, such as height and appearance and, as a result, is **now seen as dated**

Behavioural theory

- **Behavioural theory** suggests that individuals can **learn behaviours** that make them effective leaders
  - Research focused on studies of **CEOs**, project managers and other leaders across diverse industries as they responded to situations
    - Successful leaders **pursued actions in a consistent way** and had **developed behaviours** that were key to business success
  - These behaviours **don't come naturally to everyone**, but can be learned and strengthened with **effort, observation and experience**
- Three particular types of skills, all of which can be developed over time, are important for effective leadership
  - **Human skills** such as communication and **empathy**
  - **Conceptual skills** such as problem-solving or spotting opportunities
  - **Technical skills** such as **budgeting** or people management
- The best leaders **use these skills** and **adapt their behaviour** according to the **context** in which they find themselves

Contingency theory

- **Contingency theory** suggests that effective leadership **depends on the specific situation**

- A leader can be effective in one situation and ineffective in another, depending on whether their **leadership style fits** the given situation

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Factors determining leader effectiveness

Factor	Explanation
The task or project	▪ **Complex** or **safety-critical** tasks may require an **autocratic** approach ▪ **Creative projects** may be led more effectively by a more **participative** leader
The leader's personality	▪ Some leaders may find it **difficult to adapt their style** or have ingrained opinions of how a leader should manage and behave ▪ Leaders who have developed **close working relationships** with subordinates may find it easier to operate as a team player
The size and composition of the team	▪ Large teams may require greater supervision and direction than smaller teams ▪ Highly-skilled teams may benefit from a less formal leadership approach
Resources available and deadlines	▪ Tight budgets and deadlines may require close supervision to ensure that targets are met

- Contingency theory emphasises the importance of **finding the right leader for the given circumstances**
  - Leaders who are willing and able to adapt their leadership style to the situation are highly valued
    - New Zealand's former prime minister, **Jacinda Ardern,** was praised for her ability to adapt her leadership style during her term of office

Power and influence theories

- **Power and influence theories** suggest that leaders hold **personal power over subordinates** as a result of their
  - Expert knowledge
  - Personal charm
  - Formal **hierarchical** position
- If leaders have one or more of these sources of power, they are in a **position to influence subordinates** to **follow them and act on their directions**

- **Transactional leaders** use a system of rewards and punishments as motivators to maximise team performance
  - The personality and capabilities of the leader are less important than the strength of the system and how well employees adhere to it
  - The leader's main focus is likely to involve assessing employees' performance, distributing rewards or implementing punishments

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Transformational leadership

- **Transformational leadership** is most appropriate when businesses are undergoing **periods of change**
  - These leaders focus on **cultural change** and the 'bigger picture' rather than day-to-day management of workers, including
    - Influencing and encouraging subordinates
    - Being an inspiration to others and 'selling' the business **vision**
    - Providing new challenges and developing employees' ambitions
  - Recent examples of transformation leaders include
    - Virgin's **Richard Branson**, whose transformative leadership style focuses on keeping employees happy so they perform better as a group
      - Branson has learned to take risks and, importantly, to treat all workers with respect
    - Target's **Gregg Stienhafel** took over at a company that had failed to change in the face of challenges from online rivals
      - He made rapid changes to build a strong online presence, alongside a renewed network of physical stores across the US.

Examiner Tips and Tricks

When evaluating different approaches to leadership, you should avoid suggesting that there is one single correct way to lead. The best leaders can adapt their leadership style depending on the context, the people they are leading and the circumstances in which they are operating.

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